

Gold Fell 28%. Central Banks Bought More Anyway.

One buyer sold. The other didn't blink. The 2026 survey confirms which one sets the floor.



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Gold touched \$5,626 on the futures contract on January 29, 2026. By June 11, it had fallen to \$4,046, a 28% drawdown in four and a half months. The World Gold Council published its 2026 Central Bank Gold Reserves Survey on June 16. Record 76 respondents. 45% of central banks plan to increase their own gold holdings over the next 12 months, the highest figure in the survey's nine-year history.

Those two facts look like they contradict each other. **They don't, because they were never describing the same buyer.**



Gold spot, daily candles, January through June 2026. Peak above \$5,600 in late January, bottoming near \$4,046 on June 11 before chopping lower through late June. Source: TradingView, OANDA.

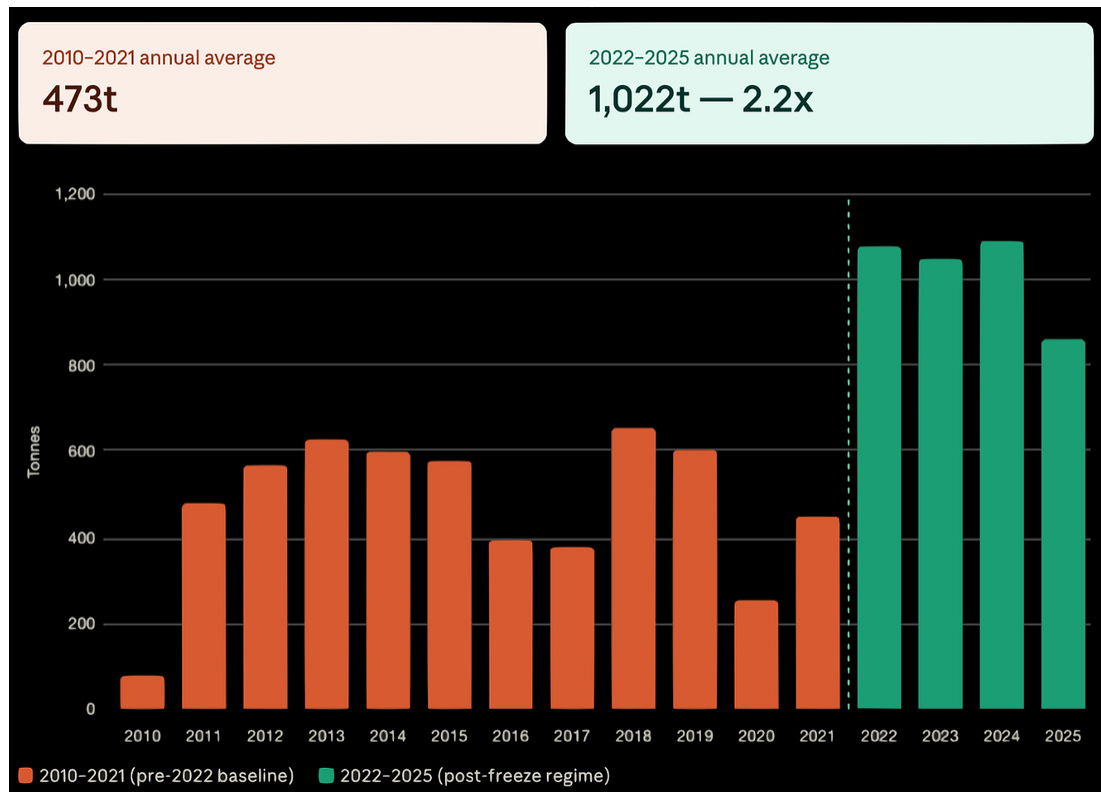
The 2022 Forcing Function

In early 2022, after Russia invaded Ukraine, the US and its allies froze more than \$300 billion of the Bank of Russia's dollars, euros, pounds, and yen held in Western institutions. **Russia's gold escaped that freeze** because the Bank of Russia stores the large majority of its bullion domestically, split between Moscow and St. Petersburg vaults, never in foreign custody and therefore outside any foreign government's reach. Western sanctions did bar Russia from selling gold through the London Bullion Market and other Western exchanges, but the metal itself stayed in Russian hands.

Every non-Western central bank holding a meaningful share of its reserves in dollars and Treasuries watched that happen and drew two conclusions. The first was specific to gold: hold it at home, not abroad, and it cannot be touched. The second was broader and more consequential: **the dollar itself, as an asset class, now carries a standing political risk** for any country that might end up adversarial to or simply unaligned with US foreign policy. That risk does not require an active conflict. It just requires being on a list that the US decides to write one day. The rational response to that risk is not only buying gold. It is reducing dollar and Treasury exposure over time and rotating that exposure into the one reserve asset that carries no such risk.

That rotation, not a one-time hedge, is what 2022 actually triggered, and it is why the same 2026 survey that shows a record share of central banks adding gold also shows 74% of them expecting their dollar reserve share to be lower five years from now. Same institutions, same horizon, one reallocation.

Central bank gold buying averaged 500 tonnes annually in the decade before 2022. **Over the four years since, it has averaged 1,000 tonnes, roughly double**, and stayed above 860 tonnes through 2025, the slowest of those four years and still nearly double the prior decade's pace. **2022 is the hinge this entire thesis turns on**, so everything below references it.



Central bank net gold purchases, 2010–2025. The post-2022 average is more than double the prior decade, sustained through four consecutive years.
Source: World Gold Council.

What Broke the Price

Two mechanisms drove the 28% drawdown from January to June, **and neither one touches the central bank behavior described above.**

The first is the inflation and rates channel. The Iran war escalated through February, and rising oil prices pushed US inflation higher into the spring. That repriced the Fed's path. Markets had been expecting cuts. Instead they started pricing out cuts and at points priced meaningful odds of a hike by year-end. Higher for longer real rates meant more demand for dollar-denominated assets like Treasuries, meaning more demand for the dollar itself to buy them, strengthening the currency. Gold fell more than 10% in March alone, its worst monthly decline since June 2013, not because the war made the world look safer, but because the war made the inflation and rates backdrop worse for gold specifically. Gold needed the war to end to rally, not to escalate. **A safe-haven trade that requires de-escalation rather than escalation to perform well is not behaving like a normal safe-haven trade.** It is behaving like a rates and dollar trade that happens to share a chart with geopolitical risk.

The second mechanism sat on top of the first. In the acute weeks of the war, equity markets sold off hard alongside gold. When portfolios get hit with margin calls, the most liquid asset in the book tends to get sold first to raise cash, independent of conviction in that asset specifically. That kind of forced, capitulation-style selling was visible in the precious metals complex through the spring, **the pattern of a market being sold by liquidation rather than repriced by a change in view.**

Both mechanisms explain the 28% drawdown without requiring any change in central bank behavior. They operated entirely in the layer of the market this thesis never depended on.

Real Yields Stopped Predicting Gold

For roughly two decades, the single best predictor of gold's price was real yields, the interest rate on inflation-protected Treasuries. The relationship was tight enough that a 100 basis point move in real yields historically corresponded to an 18% move in the inflation-adjusted price

of gold. When real rates rose, gold fell, because gold pays no yield, and the opportunity cost of holding it went up. That regression held from roughly 2004 through 2021.

It broke in 2022 and has stayed broken since. Real yields turned positive once the Fed's tightening cycle began in March 2022 and climbed past 2% by late 2023, staying elevated through today. Under the old relationship, four straight years of elevated real yields should have capped gold the entire time. Instead gold kept climbing through it, past \$2,700 in 2024, past \$4,000 by late 2025, past \$5,000 in early 2026. The old framework cannot explain that move at all, not one leg of it.

The explanation is the same mechanism that explains the rest of this thesis. The real yields relationship existed because the marginal buyer used to be Western ETF flows and macro hedge funds, both of which trade gold explicitly against the opportunity cost of holding a non-yielding asset. **Once central banks took over as the marginal buyer in 2022, the regression stopped applying,** because central banks do not trade gold against US real yields. They buy regardless of US real yields, for reasons that have nothing to do with the opportunity cost calculation that drove the old relationship. The financial layer that still trades on rates didn't disappear, and it is exactly what sold hard in March. **But it sells against a floor that no longer moves with it.**

Why Central Banks Are the Marginal Buyer Even Though They Don't Trade Like One

In a normal financial asset, the marginal buyer is the most price-sensitive participant, the one who steps away first when prices rise too far. Before 2022, gold mostly worked this way. The marginal buyer was Western institutional capital, trading gold against real interest rates, the same mechanism behind the real yields regression above.

Central banks do not trade this way. **They are explicitly price-insensitive**, buying for the reserve diversification and dollar-exposure reasons just laid out, not for tactical return. And yet they have become the marginal buyer anyway, because the marginal buyer is not defined as whoever is most price sensitive. **It is defined as whoever clears the last unit of supply and therefore sets the price at the margin.**

Total gold supply has a baseline layer of steady demand, jewelry and technology, that does not move much with price. Above that sits the excess supply that has to be cleared by someone. Before 2022, that someone was Western financial capital, which stepped away as price rose. Since 2022, central banks have absorbed that excess regardless of price. **The result is a structural floor that ratchets higher over time** rather than a price that mean reverts to where the old buyer used to cap it.

What the 2026 Survey Confirms, and What's Already Showing Up

The survey was conducted between February 5 and May 19, 2026, with most responses coming in after the Iran war began. It is a live read on central bank sentiment through the exact period gold was falling.

The survey returned a clear set of numbers:

- 89% of respondents expect global central bank gold reserves to increase over the next 12 months
- 45% expect their own institution's reserves to increase, a survey record, up from 43% in 2025 and 29% in 2024
- Only 1% expect their own reserves to decrease
- 74% expect US dollar reserve share to be moderately or significantly lower five years from now

- 84% expect gold's share to be higher over the same horizon, also a record
- Geopolitical instability moved ahead of inflation concerns as a top reserve management consideration this year

The war that crushed the price through the rates channel simultaneously reinforced the structural demand for gold through the reserve strategy of every central bank watching it unfold. **Two transmission mechanisms, same event, opposite sign.**

This is not just survey intention. **In Q1 of 2026, central banks bought a net 244 tonnes of gold**, the fastest quarterly pace in over a year, led by Poland, Uzbekistan, and China. Total Q1 demand across all categories reached 1,231 tonnes, with weaker Western ETF buying offset by strong Asian investment demand and bar and coin accumulation. The stated intent in the survey and the reported purchases in the same window both point toward continued accumulation at pace.

On funding, the survey also asks central banks planning to buy how they intend to pay for it. **Half said they would run a domestic purchase programme in their own local currency** rather than touching the dollar or other foreign currency holdings. **38% said they would fund purchases by selling some of their other reserve assets, typically Treasuries.** The remaining purchases come from newly accumulated reserves.

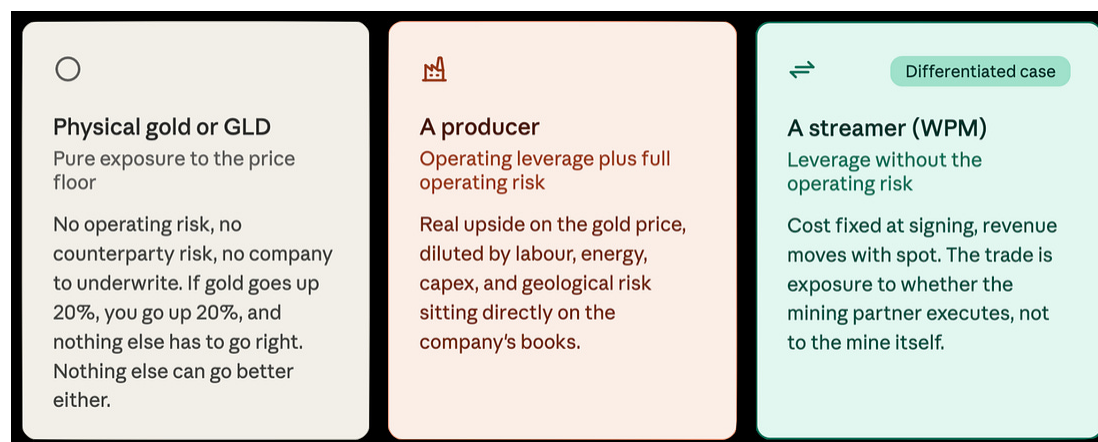
The local currency funding matters because it means a meaningful share of incoming demand is insulated from a stronger dollar, making gold more expensive to buy. The 38% selling other assets to fund gold purchases is still price insensitive demand for gold itself, the bank is buying regardless of price, but it is worth tracking because if that share grows a lot, it could mean central banks are having to work harder to fund the same purchases, a softer version of price sensitivity creeping into a layer of demand that's supposed to be largely indifferent to it.

What Breaks the Thesis

The Q2 2026 WGC official sector demand data publishes in July. Q1's 244 tonnes is the baseline to beat.

1. If Q2 falls sharply below an 800-tonne annualized pace, the 2025 full-year figure of 863 tonnes moves from a price sensitivity footnote to an actual signal that the post-2022 regime is normalizing toward something closer to the old decade's pace. If Q2 holds near or above the Q1 pace, the 45% survey figure has converted into reported purchases and the floor keeps rising regardless of where the price-sensitive layer takes spot next.
2. If the share of central banks funding purchases by selling other reserve assets rises materially above this year's 38%, that is the softer signal worth watching. It hasn't moved yet.

If You're Convinced By the Structural Case, the Next Question Is What Captures It



Three ways to take the gold thesis, and the risk each one trades for leverage.

A rising floor under the metal doesn't tell you what to hold. There are three ways to take this view, and each has a different risk profile.

Physical gold or GLD gives pure exposure to the floor. No operational risk, no counterparty risk, no management execution risk, no company-specific catalyst to underwrite. If gold goes up 20%, you go up 20%, and nothing else has to go right. The cost is that nothing else can go better than that either.

A producer, an ordinary gold mining company, gives you operating leverage on the gold price, but it also gives you full exposure to that company's own costs: labour, energy, capital expenditure to develop new ore bodies, geological risk, permitting risk, and the kind of cost inflation that has historically eaten into producer margins exactly when gold prices are high and everyone wants more equipment and workers. A producer's upside is real but it's diluted by all of that operating risk sitting directly on the company's books, which is the reason streamers have historically been able to command higher cash flow multiples than producers for the same gold price exposure.

Of the three, I'm holding the streamer. Here's the case for it in full.

A streamer like Wheaton Precious Metals (WPM) is structurally different from both. It does not mine. It pays mining companies an upfront lump sum years in advance for the right to buy a fixed share of future production, then pays an ongoing amount per ounce delivered that is set by the streaming agreement itself, commonly a fixed percentage of spot, around 20% on WPM's largest recent deals, sometimes a tiered formula, sometimes a flat dollar amount. Either way, the price WPM pays per ounce is fixed by contract terms agreed at signing, not by whatever the open market happens to charge that day. WPM never touches the mine's actual operating costs, the labour, the energy, the capital expenditure to extend the pit. Those all sit with the mining partner. WPM just shows up and buys gold at a steep discount to whatever it's currently worth.

That structure gives a streamer two things neither the metal nor the producer gives you on its own. Whether the streamer case is actually worth making depends entirely on whether a specific company is delivering on both.

The first is **operating leverage without operating risk**. Because the rate WPM pays per ounce is fixed by contract at signing, its cost structure scales differently than a producer's. On the most common structure, paying a fixed fraction of spot, roughly 20% on WPM's recent deals, the margin percentage on every ounce is locked by contract regardless of where gold trades. But because that locked margin is a percentage of a rising number, the dollar profit per ounce still grows as gold rises, without WPM having to manage a single mine or absorb a single dollar of the cost inflation a producer carries. Haytham Hodaly confirmed the resulting margin on WPM's Q1 2026 call:

“on the gold side, we’re close to 86% margins. You don’t see that with producers.”

That is the leverage the metal alone doesn't give you, captured without the cost risk a producer carries.

The second is **production growth that is locked in independent of where gold trades**. This is the company-specific part, and it's the part that actually has to be checked rather than assumed. WPM produced 690,000 gold equivalent ounces in 2025 and has guided to 1.2 million by 2030, **roughly 50% growth from assets that are already contracted and funded**, not exploration hopes. Haytham Hodaly described the six additional assets coming online over the next five years as

“all funded and permitted.”

The Antamina stream acquired from BHP closed on April 1, 2026, and is expected to contribute about 18% of total 2030 production on its own.

None of that growth requires a higher gold price to show up. It shows up because the contracts are already signed.

That combination, a contractually locked margin structure plus contracted growth, means the historical 28x price to cash flow ceiling that has capped WPM's valuation is being applied to a business that has gotten structurally bigger. That ceiling was set when the company produced roughly 690,000 ounces at roughly \$2,000 gold. At 1.2 million ounces and materially higher gold, cash flow per share is larger, so the same 28x multiple applied to a bigger number produces a **higher stock price, even without arguing the multiple itself should expand**. Whether the multiple deserves to re-rate on top of that is a separate argument, one I'll make in full in a dedicated post on WPM's valuation specifically.

The honest caveat applies to any streamer, not just this one: you are still exposed to whether the mining partner executes. If Antamina has an operational disruption, if a partner defaults, if capital allocation priorities shift under new leadership, those risks land on a streamer's holders in a way they never land on someone who just holds the metal. That is the explicit trade for the leverage and the locked growth, and it is the question to ask of any streamer before owning it over the metal: is the growth actually contracted, or is it a hope.

What to Watch

The same July checkpoint applies to every leg of this. If Q2 official sector demand holds near the Q1 pace, the structural floor under the metal holds, and the case for the streamer over the metal stands on its own contracted growth regardless of where spot goes next. If Q2 breaks sharply lower, the floor itself is the thing to re-examine first, before any single company's story.

The Close

Gold fell 28% from January to June. That move gets attributed to the price-sensitive layer, Western institutions trading against real yields and the dollar. That buyer is real, and it sold hard into a rate shock the way it always has. **But that buyer was never the thesis.** It hasn't been the marginal buyer since 2022.

The buyer who is the thesis bought a net 244 tonnes in the first quarter, the fastest pace in over a year, while the price was falling. The 2026 survey, fielded through the same window, came back with a record 45% of central banks planning to add more. Two populations, two reaction functions, one event. **The financial layer panicked. The structural layer didn't blink.**

Gold fell 28% on a buyer that was never the thesis. I'm holding the one that is.

Disclosure: I hold a position in Wheaton Precious Metals. This material is for informational purposes only and does not constitute investment advice. All figures sourced from: World Gold Council Central Bank Gold Reserves Survey 2026, published June 16, 2026; World Gold Council Gold Demand Trends Q1 2026, published April 29, 2026; Wheaton Precious Metals Q1 2026 earnings call transcript, May 8, 2026, and Q4 2025 earnings call transcript, March 13, 2026, both via TIKR Terminal, Hodaly verbatim; PIMCO, "Understanding Gold Prices," updated June 2025, for the real yields regression (100 basis points = 18% move in inflation-adjusted gold price, 2004-2025); gold spot price data via TradingView (OANDA) and gold futures historical price data via Investing.com, both as of June 19, 2026.